NTPC Ltd

NTPC

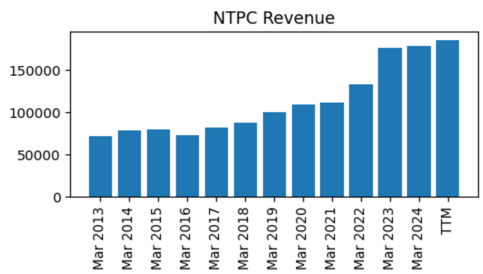
Key Financial Metrics

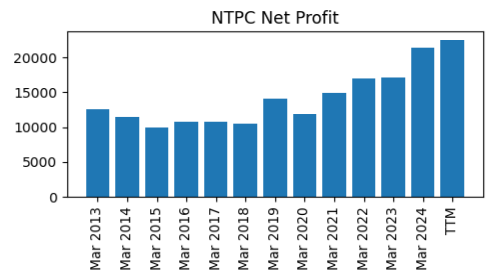
ROE 13.40%	**ROCE** 12.77%	**Debt / Equity** 1.44
Revenue CAGR 8.67%	**FCF Conversion** 191.19%	**Quality Score** 38.79

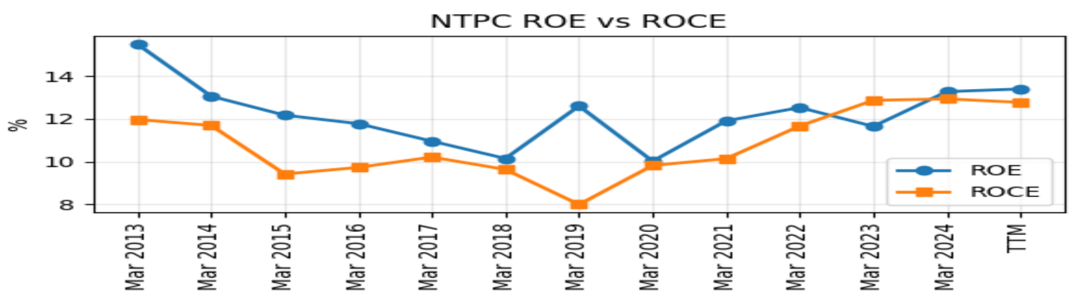
Company Profile

Company	NTPC Ltd
Sector	Energy
Industry	Power & Utilities
Market Cap (■ Cr)	907,823.11
P/E Ratio	30.80
P/B Ratio	5.24
Dividend Yield	0.06%

Financial Performance







AI Investment Summary

NTPC Ltd currently faces multiple financial challenges that increase investment risk. It currently has moderate profitability, average capital efficiency, steady revenue growth, high quality cash-flow quality and elevated leverage. The overall financial quality score is 38.8/100. Key strengths include: Return on equity improving for three consecutive years reflects strengthening business quality and capital efficiency.; Strong free cash flow generation over 5 years signals healthy business fundamentals.; Operating profit margin above 25% indicates strong pricing power and cost discipline.. Key risks include: No major financial weakness was identified by the rule engine, although ongoing monitoring remains important.. Investment recommendation: Reduce. Overall, the company appears to be financially weak with elevated investment risk.

Pros & Cons

Pros	Cons
• Return on equity improving for three consecutive years reflects strengthening business quality and capital efficiency. • Strong free cash flow generation over 5 years signals healthy business fundamentals. • Operating profit margin above 25% indicates strong pricing power and cost discipline.	• No major financial weakness was identified by the rule engine, although ongoing monitoring remains important.

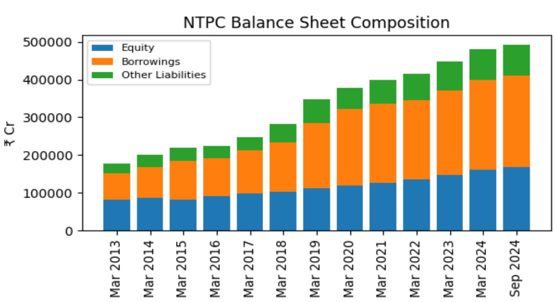
Investment Recommendation

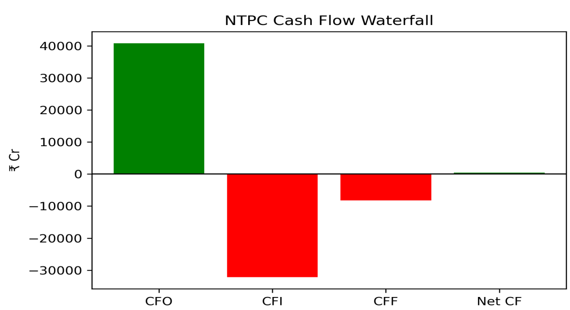
Recommendation	**REDUCE**
Risk Level	HIGH
Confidence	LOW

Recommendation Reason:
The recommendation is based on an adjusted financial score of 38.8/100, supported by 3 identified strengths, 1 identified risks, and cash-flow quality rated as High Quality.

Adjusted Score: 38.8

Balance Sheet & Cash Flow





Financial Health

Profitability	Moderate
Growth	Moderate
Cash Flow	Strong

Leverage	Weak
Valuation	Fair

Capital Allocation

Shareholder Returns